HOME AFRIKA
Houses Become Homes

# The Directors of Home Afrika Limited are pleased to announce the Un-audited Group results for the 6 months period ended 30th June 2019

| Condensed Consolidated Statement of Profit or Loss and other Comprehensive Income | 6 Months to 30 June Un-audited 2019 Shs '000' | Un-audited 2018 Shs '000' |
|---|---|---|
| **Revenue** | **103,260** | **106,718** |
| Cost of sales | (60,235) | (69,776) |
| **Gross profit /(loss)** | **43,025** | **36,942** |
| Other operating income | 5,960 | 3,925 |
| Selling and distribution expenses | (16,036) | (15,899) |
| Administration expenses | (75,009) | (95,384) |
| Other operating expenses | (15,995) | (14,500) |
| **Operating loss** | **(58,055)** | **(84,917)** |
| Finance costs | (36,577) | (53,514) |
| **Loss for the period** | **(94,632)** | **(138,431)** |
| Tax charge | 17,845 | 26,828 |
| **Total Comprehensive Loss for the period** | **(76,787)** | **(111,603)** |
| | | |
| **Profit attributable to:** | (61,430) | (90,505) |
| - Owners of the parent | (15,357 | (21,098) |
| - Non - controlling interest | **(76,787)** | **(111,603)** |
| (Loss)/earnings per share | | |
| - basic and diluted | (0.15) | (0.24) |

| Condensed Consolidated Statement of Financial Position | Un-audited As at 30 June 2019 Shs'000' | Audited As at 31December 2018 Shs '000' |
|---|---|---|
| Non-current assets | 673,257 | 680,132 |
| Current assets | 4,548,268 | 4,502,462 |
| Current liabilities | (5,692,783) | (5,554,832) |
| Net current assets | (1,817,773) | (1,732,502) |
| | **(1,144,515)** | **(1,052,370)** |
| **PRESENTED BY** | | |
| Share capital | 405,255 | 405,255 |
| Share premium | 68,842 | 68,842 |
| Accumulated deficit | (1,441,545) | (1,364,758) |
| Equity attributable to owners of the company | (967,448) | (890,660) |
| Non –Controlling interest | (177,067) | (161,710) |
| Non- current liabilities | - | - |
| | **(1,144,515)** | **(1,052,370)** |

**Explanatory notes:** *These results are extracted from the unaudited consolidated financial statements of Home Afrika Limited for the 6 months period ended 30th June 2019.*

**Condensed Consolidated Statement Of CHanges in Equity for the 6 Months Period Ended 30 June**

| | Ordinary Share capital Shs '000' | Share premium Shs '000' | Retained earnings Shs '000' | Total Shs '000' | Minority interest Shs '000' | Total equity Shs '000' |
|---|---|---|---|---|---|---|
| **For the period ended 30 June 2018** | | | | | | |
| At start of period | 405,255 | 68,842 | (888,682) | (324,584) | 11,498 | **(313,086)** |
| Total comprehensive (loss) for the period | - | - | (90,505) | (90,505) | (21,098) | **(111,603)** |
| **At end of period** | **405,255** | **68,842** | **(979,188)** | **(415,089)** | **(9,600)** | **(424,689)** |
| **For the period ended 30 June 2019** | | | | | | |
| At start of period | 405,255 | 68,842 | (1,364,757) | (890,660) | (161,710) | **(1,052,370)** |
| Total comprehensive (loss) for the period | - | - | (76,788) | (76,788) | (15,358) | **(92,145)** |
| **At end of period** | **405,255** | **68,842** | **(1,441,545)** | **(967,448)** | **(177,068)** | **(1,144,515)** |

**Condensed Statement Of Cash Flows For The 6 Months Period Ended 30 June**

| | As at 30 Jun 2019 Shs '000' | As at 30 Jun 2018 Shs '000' |
|---|---|---|
| **Cash generated from operations** | **15,056** | **51,601** |
| Interest Paid | (18,390) | (79,003) |
| Tax Paid | (449) | (3,312) |
| **Net Cash Generated from Operating Activities** | **(3,783)** | **(30,713)** |
| Net Cash flow from Investing Activities | (238) | (3,972) |
| Net Cashflow from Financing activities | - | 1,676 |
| Net Cash Increase/ ( Decrease in Cash and Cash equivalent | (4,021) | (8,050) |
| Cash as cash equivalent at the beginning of the year | 9,338 | 19,640 |
| **Cash and Cash equivalents at the end of the year** | **5,317** | **11,591** |

## 1. FINANCIAL HIGHLIGHTS

1.1 The group reported a 16% increase in gross profit the in six months period ending 30th June 2019 compared to 2018 from Ksh 37 million to KSh 43 million. There was also a 31.6% reduction in loss for the period ending June 30th 2019 compared to 2018 from Ksh 138 million to Ksh 95 million. The group has reported a lower after tax loss of Shs 77million in the half year 2019 compared to a loss of 112 million in 2018, a decrease of 31.2%

1.2 Migaa Golf Estate, being a long-term project, is expected to realize its profitability towards the end of the project in 3 – 4 years' time. In line with our accounting policy, proceeds of the project are carried as current liabilities in the balance sheet as deferred income and as deposits from sales of plots lingering at Ksh 2.8billion as at June 30th 2019 compared with Ksh 2.6 billion for the same period in 2018. This amount will convert to revenues in our statement of profit or loss as the percentage of completion of the project improves over the next 3 – 4 years. All expenses are usually expensed in the current period.

1.3 The book value of the group's sellable land and other inventory stood at Sh3.7 billion in 2019. We continue to investment in the infrastructure of the various projects which will help improve the market value of the land bank as the land becomes more desirable.

The directors do not recommend a dividend for the period ending **30th June 2019.**

The unaudited financial statements of the company were approved by the Board of Directors and signed on its behalf by:

**Dan Awendo**
**Managing Director**